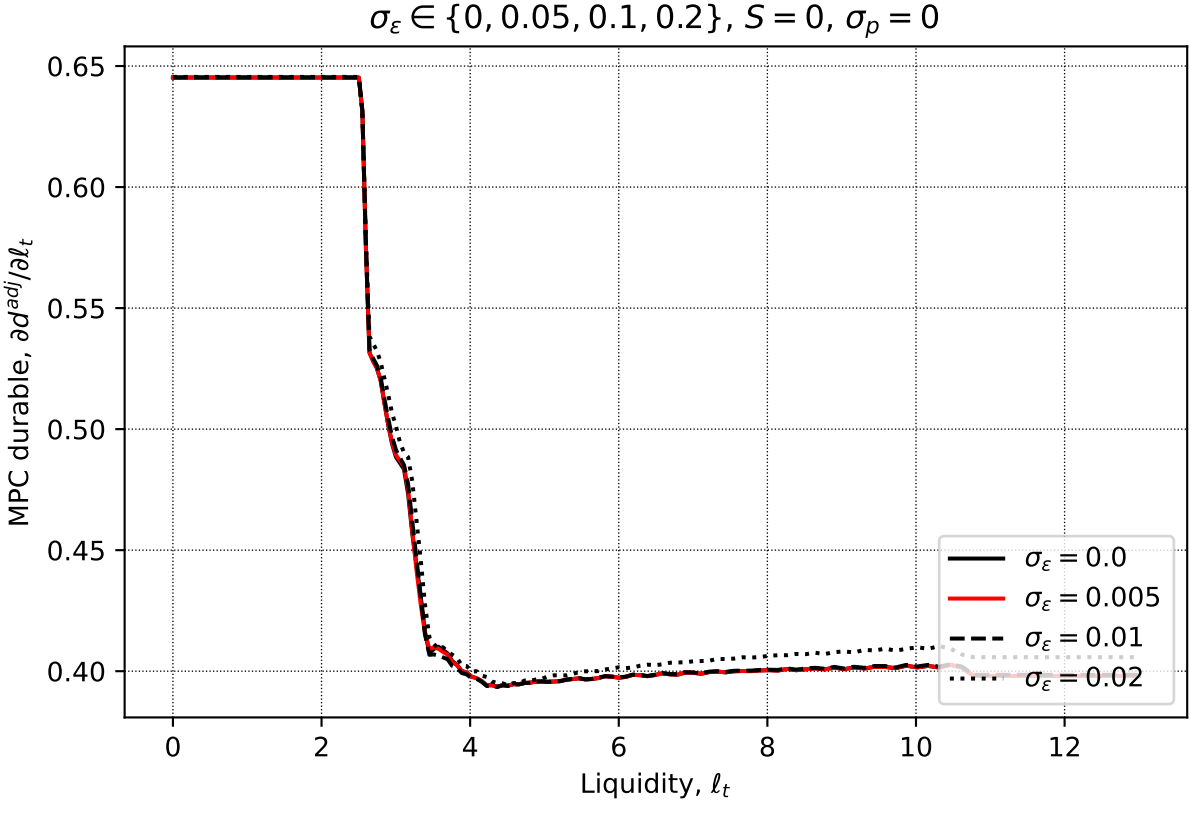
$\sigma_\varepsilon \in \{0, 0.05, 0.1, 0.2\}$, $S = 0$, $\sigma_p = 0$
MPC durable, $\partial d^{adj}/\partial \ell_t$
Liquidity, ℓ_t
0.65
0.60
0.55
0.50
0.45
0.40
0
2
4
6
8
10
12
$\sigma_\varepsilon = 0.0$
$\sigma_\varepsilon = 0.005$
$\sigma_\varepsilon = 0.01$
$\sigma_\varepsilon = 0.02$